

ABC MANUFACTURING PVT LTD
PROCUREMENT POLICY — VENDOR EVALUATION & RFQ SCORING GUIDE

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SECTION 1 — PURPOSE & SCOPE

This policy defines the mandatory criteria and scoring weights for evaluating vendor quotations received in response to formal Request for Quotation (RFQ) processes. All purchases above INR 5 Lakhs must follow this policy. The Purchase Manager is responsible for compliance.

SECTION 2 — EVALUATION CRITERIA AND WEIGHTAGE

Criteria	Weight	How to Score	Max Score
2.1 PRICE (Landed Cost)	40%	Score 100 to lowest landed cost vendor. Others scored proportionally: Score = (Lowest Landed Cost / This Vendor's Cost) x 100	40
2.2 DELIVERY LEAD TIME	25%	0–10 days: Score 100 11–14 days: Score 80 15–21 days: Score 60 Above 21 days: Score 30	25
2.3 PAYMENT TERMS	20%	60+ days credit: Score 100 45 days: Score 80 30 days: Score 60 Advance up to 25%: Score 30 Advance above 25%: Score 10 100% Advance: Score 0	20
2.4 QUALITY CERTIFICATIONS	10%	ISO 9001 + BIS + NABL: Score 100 ISO 9001 + BIS: Score 80 ISO 9001 only: Score 60 Certification in process: Score 20 No certs: Score 0	10
2.5 PENALTY CLAUSE	5%	Penalty clause with % terms: Score 100 As per buyer's PO terms: Score 50 No penalty clause: Score 0	5

SECTION 3 — MANDATORY DISQUALIFICATION FLAGS

Flag Type	Condition	Action
RED — CRITICAL	Quote validity expired before evaluation date	Disqualify — do not compare
RED — CRITICAL	100% advance payment required	Disqualify — cash flow risk
RED — CRITICAL	No GSTIN or GST invoice unavailable	Disqualify — compliance risk
RED — CRITICAL	No quality certifications of any kind	Disqualify — quality risk
RED — CRITICAL	Price entirely subject to market at dispatch	Disqualify — price not firm

SECTION 4 — CAUTION FLAGS (AMBER)

Flag Type	Condition	Action
AMBER	Price subject to index revision > 3%	Flag — seek price lock confirmation
AMBER	Advance payment required > 25%	Flag — get CFO approval
AMBER	Quote validity less than 10 days remaining	Flag — request extension
AMBER	No penalty clause mentioned	Flag — insert in PO terms
AMBER	Warranty less than 6 months	Flag — negotiate extension

AMBER	Freight cost approximate / not firm	Flag — confirm landed cost
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SECTION 5 — LANDED COST CALCULATION

IMPORTANT: All price comparisons MUST be on LANDED COST basis — not quoted price basis.

Landed Cost = (Unit Price + Freight per unit) x (1 + GST Rate)

Example: Rs 441 ex-works + Rs 15 freight = Rs 456 base. x 1.18 = Rs 538.08 landed cost.

A vendor quoting Rs 441 ex-works may be MORE EXPENSIVE than one quoting Rs 448 CIF Mumbai.

SECTION 6 — APPROVAL MATRIX

Order Value	Approving Authority	Turnaround Time
Up to INR 5 Lakhs	Purchase Executive	Same day
5–25 Lakhs	Purchase Manager	1 working day
25–100 Lakhs	VP Operations + CFO	2 working days
Above 100 Lakhs	MD + CFO + Board Approval	5 working days

SECTION 7 — FINAL SELECTION

- Top 3 vendors by composite score to be shortlisted for Purchase Manager review
- Purchase Manager selects final vendor considering all qualitative factors
- Selected vendor receives formal PO within 2 working days of decision
- Rejected vendors to receive regret communication within 5 working days
- All comparison data and decision rationale to be filed in vendor evaluation record